

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 16-03

KSB SHIPPING & LOGISTICS LLC

v.

DIRECT CONTAINER LINES ALSO KNOWN AS VANGUARD LOGISTICS

**RESPONDENT, VANGUARD LOGISTICS SERVICES (USA), Inc., DOING BUSINESS
UNDER TRADE NAME DIRECT CONTAINER LINE's MOTION TO DISMISS
COMPLAINT IN LIEU OF ANSWER**

Pursuant to Rules 12 and 72(3)(b) of the Federal Maritime Commission ("Commission") Rules of Practice and Procedure, 46 C.P.R. §§ 502.12 and 502, 72(3)(b), and Rule 12(b)(6) (1) and (6) of the Federal Rules of Civil Procedure, Respondent Vanguard Logistics Services (USA) doing business under trade name Direct Container Line, erroneously named in the complaint as Direct Container Lines also known as Vanguard Logistics, moves to dismiss the complaint filed by Complainant, KSB Shipping & Logistics LLC ("KSB") on February 5, 2016 ("Complaint") for failure to state a claim upon which relief can be granted and lack of subject-matter jurisdiction.

The Complaint fails to meet the applicable thresholds for stating a cause of action under the Shipping Act, the Commission's Rules of Procedure and the Federal Rules of Civil Procedure for three reasons:

1. The Complaint fails to identify the statutory basis for the Complaint or meet the minimum pleading standards set forth in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009) or the Commission's rules of practice under 46 C.F.R. §502.62 (3)(a)(ii) and (v);
2. The Complainant has no standing under Article III of the Constitution, and
3. At best, the Complaint raises contract and tort law issues, not colorable Shipping Act claims, and thus should be dismissed under F.R.C.P. 12(b)(1) for lack of subject-matter jurisdiction.

I. STANDARD OF REVIEW FOR MOTION TO DISMISS

Under Rule 12 of the Commission's Rules of Practice and Procedure, the Commission follows the Federal Rules of Civil Procedure in instances that are not expressly covered by the Commission's Rules and to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. §

502.12. “As the Commission's Rules do not address motions to dismiss for . . . failure to state a claim, Federal Rule[] . . . 12(b)(6) appl[ies] in this case.” *Mitsui O.S.K. Lines, Ltd v. Global Link Logistics, Inc. et al.*, 2011 WL 7144008, *11 (FMC: Served Aug. 1, 2011) (citing *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431 (FMC: Served Aug. 2, 2007)).

To survive a motion to dismiss for failure to state a claim under Fed. R. Civ. P. 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009). However, a complaint should be dismissed if it does not “contain something more . . . than . . . a statement of facts that merely creates a suspicion [of] a legally cognizable right of action.” See *C. Wright & A. Miller, Federal Practice and Procedure* § 1216, pp. 235–236 (3d ed. 2004). As the U.S. Supreme Court has made clear: “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Iqbal*, 129 S. Ct. at

1949 (quoting *Twombly*, 550 U.S. at 555). Moreover, courts “are not bound to accept as true a legal conclusion couched as a factual allegation.” *Papasan v. Allain*, 478 U.S. 265, 286 (1986).

II. ARGUMENT

1. THE COMPLAINT FAILS TO MEET THE *IQBAL* AND *TWOMBLY* STANDARD OR THE COMMISSION’S RULES ON PRIVATE PARTY COMPLAINTS

To recover damages for a specific Shipping Act violation, the Complainant must make “a recitation of the legal authority and jurisdiction for institution of the proceeding, with specific designation of the statutory provisions alleged to have been violated”.

Here, Complainant offers a series of conclusory allegations without a single statutory citation, nor any allegations of pattern or practice. Instead, Complainant states vaguely that “DCL has clearly violated the Shipping Act resulting in considerable loss to US Suppliers as they have indulged in breach of trust and clearly violated the shipping act of 1984 for which they are responsible for settling the claim of suppliers, which they have been unwilling to do ...”

46 C.F.R. § 502.62(3)(a)(ii) requires "A recitation of the legal authority and jurisdiction for institution of the proceeding, with specific designation of the statutory provisions alleged to have been violated." The Complaint fails to identify any statute or regulation. The Complaint makes a passing reference to the Shipping Act on page 1 and cites a distinguishable case without any explanation of its relevance. Nothing more.

It is impossible to determine from the Complaint which statute, if any, could have been violated, and what patterns or practices allegedly violate which parts of the Shipping Act. Accordingly, Complainant fails to state a claim under Fed. R. Civ. P. 12(b)(6) and 46 C.F.R. § 502.62(3)(a)(ii) and (v) and the Complaint should be dismissed.

2. COMPLAINANT ADMITS NO INJURY IN FACT AND HAS NO STANDING

In order for a complaint to allege sufficient facts to support a valid cause of action, Complainant "must show with reasonable certainty that the violation of law is the proximate cause of the loss or injury." *See Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001). Specifically, Complainant must show that "(a) damages must be the proximate result of

violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation." *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (2003) (quoting *Waterman v. Stockholms Rederiaktiebolag Svea.*, 3 F.M.C. 248, 249 (1950); *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788, 798-99 (ALJ 1992).

Here, based on the allegations in the Complaint, the Complainant was not the party that suffered any loss or damages as a result of the alleged mistake at issue in this Complaint. In fact, based upon Complainant's own allegations, Complainant is an OTI¹ that was neither the shipper nor consignee of the shipment.² Indeed, the documents attached to the Complaint establish that Complainant does not own the cargo or the right to bring this Complaint.

¹ The Complaint at page 1 lists OTI number "022499NF"

² The term "shipper" means (A) a cargo owner; (B) the person for whose account the ocean transportation of cargo is provided; (C) the person to whom delivery is to be made; (D) a shipper's association; or (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract. 46 U.S.C. § 40102(22). See also 46 C.F.R. § 530.3(r).

The commercial invoice attached to the Complaint states that the shipment was sold "Ex-Works Hicksville, NY."³ As such, title and risk of loss passed to the buyer as soon as it left Hicksville, NY, and before the receipt by DCL.^{4,5} The only entity, therefore, which can maintain a claim for this loss is the buyer.⁶

Rather than an owner of the goods, Complainant merely acted as a "forwarding agent" on behalf of R&A International Logistics, Inc. ("R&A")⁷ R&A is not a Commission licensed OTI.⁸ Accordingly, the scope of Complainant's agency is limited to that of a forwarding agent acting on behalf of an unlicensed consolidator, R&A.⁹ This limited role does not in any way support Complainant's standing to pursue this alleged claim.

To have standing, a complainant must allege the following elements: (1) a personal injury, (2) fairly traceable to the defendant's allegedly unlawful conduct,

³ See Exhibit 12a to the Complaint in the "Terms" box..

⁴ See Exhibit 5 to the Complaint in the "Place of Receipt" and "PORT/PORT."

⁵ "Ex works" means that risk of loss transfers at Hicksville, NY to the buyer. See *ICC Guide to Incoterms 2010* (March 14, 2014) and *In re World Imps., Ltd.*, 511 B.R. 738, 745 (Bankr. E.D. Pa. 2014). The buyer bears all costs and risks involved in taking the goods from the seller's premises to the desired destination. *Calzaturificio Claudia s.n.c. v. Olivieri Footwear*, 1998 U.S. Dist. LEXIS 4586 (S.D.N.Y. Apr. 6, 1998),

⁶ Without standing, KSB's Director, Sridhar Rajaopalan's, appearance before the Commission is a violation of 46 C.F.R. §502.27.

⁷ KSB Complaint page 2.

⁸ R&A holds itself out as a OTI. <http://ra-logistics.com/main/raiwts-page.asp?p=2> "expeditious transport via sea freight" but it has no license from the Commission.

⁹ KSB Complaint page 3, "We were acting as agents of R&A International." The complaint is devoid of any assignment or claim of an assignment from a party with the interest in the cargo.

and (3) likely to be redressed by the requested relief. *E.Y.K. Intl, Inc. v. Sea-Land Service, Inc.*, 1992 A.M.C. 2575, 2576 (C.D. Cal. 1992) citing *Allen v. Wright*, 468 U.S. 737, 751 (1984). Without an injury in fact, Complainant has no standing under Article III of the Constitution, and its Complaint must be dismissed. *Exel, Inc. v. S. Refrigerated Transp., Inc.*, 807 F.3d 140, 148 (6th Cir. Ohio 2015); *Im Ex Trading Co., Inc. Vessel BEATE OLDENDORFF*, 1993 A.M.C. 2925 (M.D. Fla. 1993). The Supreme Court has consistently held abstract or indefinite harm insufficient to confer standing. *Novak v. United States*, 795 F.3d 1012, 1018 (9th Cir. Haw. 2015). In fact, nowhere in the Complaint does Complainant allege that it has suffered any damages. Instead, Complainant alleges the alleged breach caused “massive losses to our customer and their suppliers.”¹⁰ Complainant is bound by the admissions in its pleading. *See Freedom Nat. Bank v. N. Ill. Corp.*, 202 F.2d 601, 605 (7th Cir. Ill. 1953). Accordingly, Complainant admits that it has not suffered an injury in fact and its Complaint should therefore be dismissed.¹¹

¹⁰ Complaint page 2.

¹¹ Without standing, KSB’s Director, Sridhar Rajaopalan’s, appearance before the Commission is a violation of 46 C.F.R. §502.27.

3. THE SHIPPING ACT DOES NOT APPLY TO A MISTAKE RESULTING IN A CONTRACT OR TORT CLAIM

An alleged mistake does not amount to a Shipping Act violation. The Shipping Act does not provide relief, nor was it intended to, in a case of an alleged mistake, accident, or negligence. *Johnson Products Co. v. M/V La Molinera*, 619 F. Supp. 764, 766 (S.D.N.Y. 1985).

The FMC applies this standard by reviewing complaints brought before it to determine “whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act.” Docket No. 99–24, *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.* (Oct. 31, 2000). When making its determination, the FMC places the burden upon the party alleging a Shipping Act violation before the FMC to overcome any presumption to the contrary. *See, e.g.*, Docket No. 02-04, *Anchor Shipping v. Alianca*, (May 10, 2006). Contrary to this established rule, Complainant alleges that Respondent’s agent made a singular “mistake.”¹²

At its core, this allegation amounts to a simple contract or tort claim that should be adjudicated in another forum. In a case of mistake, accident or negligence, the

¹² Complaint, P. 3, second to last paragraph. (Emphasis added.)

Commission should dismiss the Complaint under F.R.C.P. 12(b)(1) for lack of subject-matter jurisdiction. *See Johnson Products Co. v. M/V La Molinera*, 619 F. Supp. 764, 766 (S.D.N.Y. 1985).

III. OBJECTIONS TO EVIDENCE

Complainant's Appendix consists of unauthenticated documents and contains no testimonial evidence either laying a foundation for the admission of such documents or independently substantiating the alleged violations by Respondent including, without limitation, commercial invoices issued by third-parties, e-mails and documents containing untranslated foreign languages. The Commission should exclude Exhibits 1, 2, 3, 4, 8, 9, 10, 11, 12A and 12B pursuant to Commission Rule 156 and 5 U.S.C. § 556(d); 46 C.F.R. § 502.7, and 46 C.F.R. § 502.156.

IV. CONCLUSION

The Complaint fails to meet the applicable thresholds for stating a cause of action under the Shipping Act, the Commission's Rules of Procedure and the Federal Rules of Civil Procedure. It is impossible to determine from the Complaint which statute, if any, could have been violated, and what patterns or practices allegedly violate which parts of the Shipping Act. The Complainant has no standing under

Article III of the Constitution because the Complainant it admits that it has suffered no injury in fact. The Commission lacks subject matter jurisdiction over a mistake. Based on the foregoing, the Complaint should be dismissed.

Dated: March 25, 2016

Respectfully submitted,

By: _____

Cameron W. Roberts

cwr@tradeandcargo.com

(310) 642-9800 x7002

ROBERTS & KEHAGIARAS LLP

One World Trade Center, Suite 2350

Long Beach, CA 90831

Attorneys for Respondent Vanguard
Logistics Services (USA) doing business
under trade name Direct Container Line

CERTIFICATE OF SERVICE

I hereby certify that I have this 25th day of March, 2016, served a copy of the foregoing RESPONDENT, VANGUARD LOGISTICS SERVICES (USA), Inc., DOING BUSINESS UNDER TRADE NAME DIRECT CONTAINER LINE's MOTION TO DISMISS COMPLAINT IN LIEU OF ANSWER by First-Class Mail and e-mail upon the following:

Sridhar Rajagopalan
Email: rsridhar@ksbshipping.com
Nitin Bhagat
Email: nitin@ksbshipping.com
KSB Shipping & Logistics LLC
50 Cragwood Road, #123
South Plainfield, NJ 07080

And

Karen V. Gregory, Secretary
Federal Maritime Commission
Office of the Secretary
800 North Capitol Street, N.W.
Washington, DC 20573-0001
Email: secretary@fmc.gov


Joanne Sattler